

Candlesticks & Market Terminology

Every major candlestick type and a complete glossary of essential trading terms.

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The language of trading is built on candlestick patterns and market terminology. Understanding what each pattern signals and what every term means is the foundation of reading price action, communicating about the market, and executing a consistent trading strategy. This guide covers the patterns and terminology every active trader must know.

MAJOR CANDLESTICK PATTERNS — COMPLETE REFERENCE

PATTERN	TYPE	WHAT IT LOOKS LIKE	SIGNAL	BEST CONTEXT	CONFIRMATION NEEDED
Hammer	Bullish reversal	Small body at top, long lower wick (2x body)	Buyers rejected lower prices strongly	At support after downtrend	Next green candle closing above hammer high
Inverted Hammer	Potential bullish	Small body at bottom, long upper wick	Buyers attempted to push higher	At support after downtrend	Next green candle with strong close
Shooting Star	Bearish reversal	Small body at bottom, long upper wick (2x body)	Sellers rejected higher prices strongly	At resistance after uptrend	Next red candle closing below low
Hanging Man	Bearish reversal	Small body at top, long lower wick — after uptrend	Same shape as hammer but different context	At resistance after uptrend	Next red candle with conviction
Doji	Indecision	Open and close nearly identical — tiny body	Neither buyers nor sellers in control	End of a trend	Direction of next candle determines outcome
Bullish Engulfing	Strong bullish reversal	Large green body fully engulfs prior red candle	Strong momentum shift from sellers to buyers	Key support after decline	High volume on the engulfing candle
Bearish Engulfing	Strong bearish reversal	Large red body fully engulfs prior green candle	Strong momentum shift from buyers to sellers	Key resistance after rally	High volume on the engulfing candle
Marubozu (green)	Strong bullish momentum	Large green candle with no or minimal wicks	Buyers completely dominated the session	Breakouts and strong trend days	No confirmation needed — the candle speaks
Marubozu (red)	Strong bearish momentum	Large red candle with no or minimal wicks	Sellers completely dominated the session	Breakdowns and strong downtrend days	No confirmation needed
Morning Star	Bullish reversal (3-candle)	Red candle, small doji, large green candle	Three-day transition from bearish to bullish	After significant downtrend at support	Volume should increase on the third candle
Evening Star	Bearish reversal (3-candle)	Green candle, small doji, large red candle	Three-day transition from bullish to bearish	After significant uptrend at resistance	Volume should increase on the third candle

TERM	DEFINITION
Ask	The lowest price a seller will currently accept for their shares
Bid	The highest price a buyer will currently pay for shares
Catalyst	A news event, earnings release, or announcement that provides a reason for significant price movement
Circuit breaker	A temporary trading halt triggered when a stock drops a specific percentage in a short time period
Day trader	A trader who opens and closes all positions within the same trading session — no overnight holds
Float	The total number of shares available for public trading (total shares minus insider and restricted shares)
Gap	When a stock opens significantly above or below its previous session's closing price
Level 2	Real-time display of all current bids and asks in the order book — shows market depth
Margin	Borrowed capital from your broker that allows you to trade with more than your account balance
Market maker	A firm that provides market liquidity by continuously quoting buy and sell prices
PDT Rule	Pattern Day Trader Rule — requires a minimum \$25,000 account balance to execute 4 or more day trades in a 5-day period in a margin account
RVOL	Relative Volume — ratio of today's volume to the stock's average daily volume over the past 20 days
Short interest	The percentage of a company's available shares currently sold short by traders betting on a price decline
Short squeeze	When a heavily shorted stock rises sharply, forcing short sellers to buy shares to cover losses, which accelerates the price move higher
Spread	The difference between the current bid price and the current ask price
Swing trader	A trader who holds positions for multiple days to weeks, typically using daily chart setups
Tape reading	Analyzing the real-time stream of transactions to identify buying and selling pressure
VWAP	Volume Weighted Average Price — the average price of all transactions weighted by volume, resets at the start of each trading session

TST CORE PRINCIPLE

You do not need to memorize every candlestick pattern. The hammer, shooting star, doji, bullish engulfing, and bearish engulfing patterns cover the vast majority of reversal signals you will ever trade. Master these five and you have the candlestick vocabulary you need for consistent technical trading.

Full candlestick and technical analysis curriculum in the TST Academy Beginner section at topstocktrading.com